Simple Business English

Negotiating a Price Increase with a Tough Retail Buyer | Business English

Situation: Sophie, a Key Account Manager for a snack producer, meets Tomas, a category buyer for a supermarket chain, in his office. Rising costs force Sophie to announce an eight percent price increase, but Tomas is known for protecting shelf prices aggressively.
Sophie — Key Account Manager at a snack manufacturer · **Tomas** — Category Buyer at a supermarket retail chain

Transcript

Sophie: Hello Tomas, good to see you again. Thanks for meeting with me.

Tomas: Hi Sophie. Good to see you. How are things going with your team?

Sophie: Things are busy at our factories, but our supply lines are running well.

Tomas: That is good. Your snack brand is performing quite well in our stores.

Sophie: That is great to hear. Our joint promotions really helped drive sales last quarter.

Tomas: Yes, they did. So, what specific topic did you want to discuss today?

Sophie: I want to talk openly about our supply costs and the broader market situation.

Tomas: Okay. That sounds serious. Are you experiencing any product shortages right now?

Sophie: No, our deliveries are completely stable. But the cost side is very challenging now.

Tomas: Are you dealing with higher energy and transport expenses again this season?

Sophie: Yes, but mainly raw materials. Sunflower oil and potatoes went up by fifteen percent.

Tomas: That is a massive jump for only six months of production.

Sophie: It is. Packaging materials like cardboard and film also increased by twelve percent.

Sophie: **To be completely transparent with you,** our overall costs rose by fifteen percent.

Tomas: That is high, but remember that we already accepted a price rise twelve months ago.

Sophie: Yes, we remember. And our company absorbed all new cost increases during the winter.

Tomas: We appreciate that effort. However, our retail margins are under heavy pressure this year.

Sophie: We understand your position. **We are doing our best to** keep our prices competitive.

Tomas: Good, because our shoppers are very price-sensitive and watch every euro right now.

Sophie: Exactly. Still, our current wholesale prices are no longer sustainable for our factories.

Tomas: What does that mean in practice for our upcoming contract, Sophie?

Sophie: We need to adjust our wholesale prices by eight percent from the first of next month.

Tomas: Eight percent? Sophie, that is simply not possible for our retail network.

Sophie: We delayed this conversation and held our prices for as long as we could.

Tomas: But we cannot raise the shelf price by eight percent right now.

Sophie: What is your biggest concern about adjusting the shelf price?

Tomas: Our shoppers will simply buy a cheaper private label. They will switch brands immediately.

Sophie: We looked at the snack category across all major supermarket chains last week.

Tomas: And what did you see? Did every competitor experience the exact same pressure?

Sophie: Yes. **Our data shows that** your main competitors raised prices by six to ten percent.

Tomas: Really? When exactly did those price changes appear on their store shelves?

Sophie: Over the last two months. Both Brand A and Brand B increased their prices.

Tomas: I know Brand A increased their price, but their sales volume dropped noticeably.
Sophie: Their sales dropped for two weeks, but then category volume recovered completely.
Tomas: Still, an eight percent jump in one step is too steep for our customers.
Sophie: We understand your concern about customer loyalty and overall shopper retention.
Tomas: If we move above two euros forty, we cross a critical psychological barrier.
Sophie: We definitely want to avoid creating any price shock for your loyal shoppers.
Tomas: Then keep your wholesale price where it is until the end of this year.
Sophie: Keeping the price unchanged would mean producing snacks at a direct loss for us.
Tomas: Couldn't your company absorb at least half of that cost increase internally?
Sophie: We already absorbed seven percent internally through factory automation and efficiency savings.
Tomas: So your total manufacturing cost growth was actually higher than eight percent?
Sophie: Yes, total cost growth reached fifteen percent across our entire snack portfolio.
Tomas: I understand your reality. But eight percent all at once will hurt our turnover.
Sophie: We want to propose a phased approach.
Tomas: What kind of phased approach do you have in mind for our stores?
Sophie: We can split the total price adjustment into two smaller, manageable steps.
Tomas: Tell me the exact numbers and the timeline for both of those steps.
Sophie: We could introduce a five percent increase on the first of next month.
Tomas: And what is your timeline for the remaining three percent increase?
Sophie: We would implement the final three percent three months later, in October.
Tomas: That gives our stores ninety days of stability between the two small steps.
Sophie: Yes. It gives your shoppers time to accept the first change without switching.
Tomas: A five percent increase still adds around twelve cents to the shelf price.
Sophie: Yes, but that keeps the shelf price safely below two euros forty cents.
Tomas: Would you consider delaying the first step by another four weeks?
Sophie: We cannot delay the first step because our raw material contracts renew now.
Tomas: My category director will not accept this increase without some extra trade support.
Sophie: We anticipated that point, and we are fully prepared to support your sales.
Tomas: What specific commercial support can you offer to protect our baseline volume?
Sophie: We are ready to support you with strong marketing during month one.
Tomas: What does that mean specifically? Are we talking about an in-store promotion?
Sophie: Exactly. We can run a major featured promotion in your national weekly catalog.
Tomas: Who will fund the promotional discount for that national catalog campaign?
Sophie: From our side, we can fund sixty percent of the promotional discount cost.
Tomas: We usually require our key suppliers to cover seventy percent on catalog deals.
Sophie: We can agree to sixty-five percent if you provide premium end-cap displays.
Tomas: Premium end-cap displays across all our tier-one hypermarkets and larger supermarkets?
Sophie: Yes, exactly. We would want that display space for the first two weeks.
Tomas: That promotional setup will drive strong customer traffic and generate healthy volume.
Sophie: It will prove to your shoppers that your chain still offers competitive snack prices.
Tomas: And what happens to sales volume in month two and month three?
Sophie: Sales will stabilize at the new five percent level before the second step.
Tomas: Let me think through the commercial balance of this entire proposal carefully.
Sophie: Of course. Take your time to review the numbers and the calendar.

Tomas: So we implement five percent next month, backed by the co-funded promotion.

Sophie: Yes, with our sixty-five percent funding contribution for the feature.

Tomas: And the secondary adjustment of three percent takes effect three months later.

Sophie: That is correct. We would schedule that second step for October first.

Sophie: How does that sound to you?

Tomas: It is a much more workable proposal than an immediate eight percent shock.

Sophie: It protects your category margins while keeping your customer footfall completely secure.

Tomas: Can we formally review snack category performance before implementing that second step?

Sophie: Absolutely. We can schedule a joint category review meeting in late September.

Tomas: If competitor pricing moves downward by then, we will need to reconsider.

Sophie: That is completely fair. We will analyze the retail scanner data together first.

Tomas: Good. That gives our merchandising team the security we need internally.

Sophie: Exactly. We value our long-term partnership and want to remain fully transparent.

Tomas: I will need your formal adjusted price file by Friday morning at ten.

Sophie: I will send the complete spreadsheet to your inbox tomorrow afternoon.

Tomas: Please include the promotional terms and the trade funding breakdown as well.

Sophie: I will include the promotional calendar and the display guidelines in the attachment.

Tomas: And we will confirm the end-cap placement across seventy designated stores.

Sophie: Excellent. Our field merchandising team will visit those locations to verify execution.

Tomas: That level of field support will ensure our promotion runs very smoothly.

Sophie: Can we agree on that?

Tomas: Yes, we have an agreement on those terms and conditions, Sophie.

Sophie: Thank you. **I appreciate your flexibility.**

Tomas: Thank you, Sophie. Let's work together to make this promotion a success.

Sophie: Absolutely. Thank you for your time, and have a great afternoon!

Key phrases from this episode

To be completely transparent with you,	honest opening when sharing sensitive facts or numbers — To be completely transparent with you, our delivery capacity is very limited this month. — To be completely transparent with you, our production budget was reduced by ten percent.
We are doing our best to	trying as hard as possible under difficult conditions — We are doing our best to deliver your order before Friday. — We are doing our best to minimize service disruptions during the software update.
Our data shows that	referencing objective market information or research facts — Our data shows that customer demand increases significantly during autumn. — Our data shows that retail competitors raised their prices last quarter.
We want to propose a phased approach.	suggesting doing something step by step instead of all at once — We want to propose a phased approach to the system rollout. — We want to propose a phased approach to manage the financial transition smoothly.
Would you consider	polite way to invite the other party to think about an option — Would you consider extending our payment terms to sixty days? — Would you consider placing a larger order to get a volume discount?
We are ready to support you with	expressing willingness to provide help, resources, or funding — We are ready to support you with extra promotional materials for the launch. — We are ready to support you with technical training for your store staff.
From our side, we can	stating what your company is prepared to do or offer — From our side, we can offer free shipping on orders over five thousand euros. — From our side, we can guarantee stock availability for three months.
How does that sound to you?	checking the other person's reaction to an idea or offer — We can deliver twenty pallets every Monday. How does that sound to you? — We will split the shipping costs equally. How does that sound to you?
Can we agree on that?	asking for final confirmation or mutual approval — We will sign the agreement next Tuesday. Can we agree on that? — The first shipment leaves on the tenth. Can we agree on that?

I appreciate your flexibility.	thanking someone for making concessions or adapting — Thank you for changing the meeting time; I appreciate your flexibility. — We were able to resolve this quickly, and I appreciate your flexibility.

Common mistakes

✗ Not: ~~We must increase our prices on eight percent next month.~~
✓ Better: **We must increase our prices by eight percent next month.**
Use 'by' with percentages to show the degree of increase, not 'on'.

✗ Not: ~~Competitors grew their prices two months ago.~~
✓ Better: **Competitors raised their prices two months ago.**
'Grow' is intransitive for prices; use the transitive verb 'raise' or 'increase'.

✗ Not: ~~How sounds that to you?~~
✓ Better: **How does that sound to you?**
English questions in the present simple need the auxiliary verb 'does' before the subject.

✗ Not: ~~Can we agree this proposal today?~~
✓ Better: **Can we agree on this proposal today?**
Say 'agree on a proposal or plan' when approving terms together.

✗ Not: ~~Selling at that price means producing in a loss.~~
✓ Better: **Selling at that price means producing at a loss.**
The correct fixed business prepositional phrase is 'at a loss', never 'in a loss'.

Quiz

1. Why does Sophie need to increase wholesale prices?
A) Raw material and packaging costs increased.
B) Her company wants to launch new products.
C) Transport costs doubled last week.

2. What is Tomas's primary concern regarding the price rise?
A) His stores have too much inventory.
B) Shoppers will switch to cheaper brands.
C) The supplier cannot deliver on time.

3. How is the price increase structured in the final agreement?
A) Eight percent immediately starting next week.
B) Four percent now and four percent next year.
C) Five percent next month and three percent in October.

4. What marketing concession does Sophie offer to protect turnover?
A) Free samples in all supermarkets.
B) Funding 65% of a catalog promotion.
C) Paying for national television advertisements.

5. What does a 'phased approach' mean in this negotiation?
A) Introducing changes step by step over time.
B) Canceling planned adjustments entirely.
C) Waiting for executive management approval.

Answers: 1-A 2-B 3-C 4-B 5-A

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